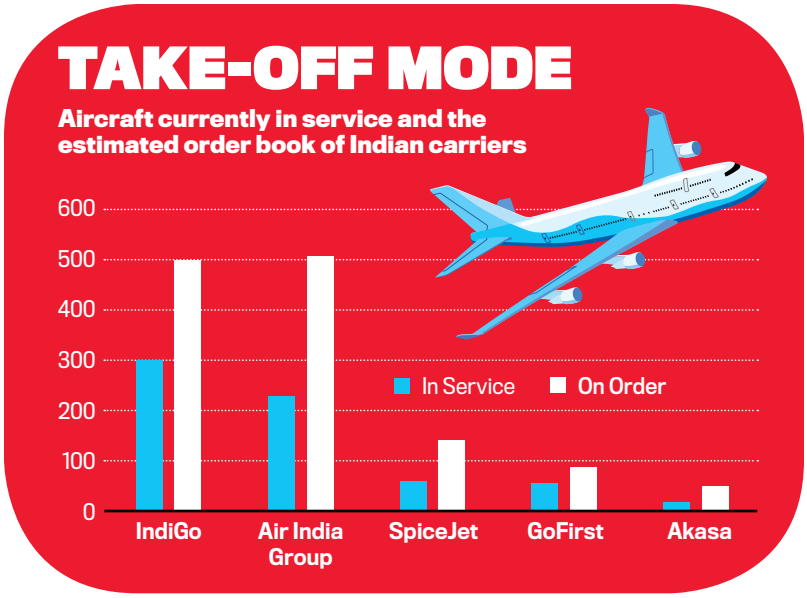


Source: CAPA

Modi and French president Emmanuel Macron along with Tata officials taking part in a video call for the Airbus deal, and US president Joe Biden speaking to Modi over the telephone post the Boeing partnership. As per the two deals, Air India will get 250 planes from Airbus and 220 from Boeing. From Airbus, Air India has ordered 40 wide-body A350 planes and 210 narrow-body A320/321 Neo family planes. From Boeing, the airline has ordered 10 wide-body B777-9 planes, 20 wide-body B787 planes, and 190 narrow-body B737 MAX planes, with an option for an additional 20 B787s and 50 B737 MAXs.

Wide-body aircraft can house more passengers since they have a bigger fuselage, or the aircraft's main body, where passengers, cargo and crew sit. While wide-body aircraft can have up to 10 seats in a row with two aisles, narrow-body ones will have 3-6 seats per row with one aisle. The A350 aircraft will be powered by Rolls-Royce engines, and the B777/787s by engines from GE Aerospace. All single-aisle aircraft will be powered by engines from CFM International.

"Air India is on a large transformation journey across safety, customer service, technology, engineering, network and human resources. A modern, efficient fleet is a fundamental component of this transformation," N. Chandrasekaran, chairman of Tata Sons, said in a statement. "These new aircraft will modernise the airline's fleet and onboard product, and dramatically expand its global network. The growth enabled by this order will also provide unparalleled career opportunities for Indian aviation professionals and catalyse accelerated development of the Indian aviation ecosystem."

As many as 31 of the new aircraft will enter service in late-2023, with the bulk to arrive from mid-2025 onwards. In the interim, Air India has already started taking delivery of 11 leased B777 and 25 A320 aircraft to accelerate its fleet and network expansion. "The firm part of the order alone is not just the largest order ever made by an Indian airline, it is one of the largest single aircraft orders by any airline, anywhere, ever, and testifies to India's unique combination of extraordinary scale and growth opportunity," said Campbell Wilson, the CEO & MD of Air India, in an email to his staff.

PRIOR TO THE AIR INDIA DEAL, INDIAN CARRIERS HAD AROUND 800 AIRCRAFT ON ORDER. THE NUMBER WILL NOW GO UP TO 1,300

Experts say an order of this magnitude could have happened so soon into a takeover only in the private sector, where decision-making is faster and companies can tap a variety of sources for funds. "(It) could simply not have been contemplated under public ownership. It therefore stands testament to how the divestment of Air India has strategically and positively reset the aviation industry in India, positioning it to realise its potential," says a report by the Centre for Aviation (CAPA), a market intelligence firm. "A new aviation order is likely, whose impact will be felt globally," it adds.

Although the aircraft order is a critically important milestone, it will be a 3-5 year mission to turn Air India around, says CAPA. The order also makes up for the growth deficit that Air India has seen for the last decade. The last time the airline ordered a large number of aircraft was in 2006 when it placed orders for 111 aircraft—68 from Boeing and 43 from Airbus—for Rs 70,000 crore. However, the deal ran into controversies, with the Central Bureau of Investigation and the Enforcement Directorate initiating probes into alleged irregularities.

Prior to the Air India deal, Indian carriers had around 800 aircraft on order, of which IndiGo accounted for 500. With the Air India order, the total orders will rise to nearly 1,300.The deals demonstrate Air India's plan to improve its fortunes in India's highly competitive aviation market, where IndiGo is the dominant player with a 54.9 per cent share, as per data from the Directorate General of Civil Aviation. Air India and Vistara, which share the second place, had market shares of 9.2 per cent each in December, while SpiceJet had 7.6 per cent. Air passenger traffic in 2022, at 123 million, was still below the pre-Covid level of 144 million